



PAPER – 1: ACCOUNTING



QUESTIONS

True and False

1. State with reasons, whether the following statements are true or false:
 - (a) Insurance claim received on account of plant and machinery completely damaged by fire is a capital receipt.
 - (b) Purchase of office furniture & fixtures of ₹ 2,500 has been debited to General Expense Account. It is an error of omission.
 - (c) Bank reconciliation statement are prepared to arrive at the bank balance.
 - (d) The provision for bad debts is debited to sundry debtors account.
 - (e) Periodic inventory system is a method of ascertaining inventory by taking an actual physical count.
 - (f) Discount at the time of retirement of a bill is a gain for the drawee.
 - (g) A withdrawal of cash from the business by the proprietor should be charged to profit and loss account as an expense.
 - (h) The firm will receive surrender value of Joint Life Policy on the death of the partner.
 - (i) Fees received for Life Membership are a revenue receipt as it is of recurring nature.
 - (j) In the balance sheet of X Limited, preliminary expenses amounting to ₹ 5 lakhs and securities premium account of ₹ 35 lakhs are

appearing; The accountant can use the balance in securities premium account to write off preliminary expenses.

Theoretical Framework

2. (a) Distinguish between Money measurement concept and matching concept.
- (b) Change in accounting policy may have a material effect on the items of financial statements." Explain the statement with the help of an example.

Journal Entries

3. (a) You are required to pass necessary journal entries in the books of Batra:
 - (i) Employees had taken stock worth ₹ 25,000 (Cost price ₹ 22,500) on the eve of Deepawali and the same was deducted from their salaries in the subsequent month.
 - (ii) Sold goods to Manik costing 20,000 at 25% above cost less trade discount of 10% plus CGST and SGST @6% each and cash discount of 5%.Manik did not avail cash discount.
 - (iii) Goods costing ₹ 6,000 (Sale price ₹ 8,000) distributed as free samples.
 - (iv) Received commission ₹ 10,000, half of which does not relate of current year and is received in advance.
 - (v) Purchased second hand machinery from Swayam industries for ₹ 4,00,000 plus CGST and SGST @ 4% each. Paid ₹ 1,00,000 immediately by cheque and balance to be paid after two months.

Capital or Revenue Expenditure

- (b) Classify the following expenditures as capital or revenue expenditure:
 - (i) Travelling expenses of the directors for trips abroad for purchase of capital assets.
 - (ii) Drainage for new equipment.

- (iii) Amount paid for removal of stock to a new site.
- (iv) Cost of repairs on second-hand car purchased to bring it into working condition.
- (v) Carriage costs on a replacement part for a piece of machinery.
- (vi) Repainting of a delivery van

Subsidiary Books

4. (a) From the following information prepare the Purchase Book of M/s Victory & Company who deals in eye care business:
- (i) Purchased from Pink & Company on credit:
10 pairs of black sun glasses @ ₹ 800 per Pair.
5 pairs of brown sun glasses @ 900 per pair
Less: Trade Discount @ 10%
 - (ii) Purchased Computer from M/s. Glory. Enterprises on credit for ₹ 20,000.
 - (iii) Purchased from Blue & Company in cash:
5 pairs of black lens @ ₹ 700 per pair
15 pairs of brown lens @ ₹ 100 per pair
Less: Trade Discount @ 15%

Rectification of Errors

- (b) Pass the Journal entries in the books of Mr. Dhuria to rectify the following errors detected during preparation of the Trial Balance:
- (i) Wages paid for construction of office building debited to wages account ₹ 20,000.
 - (ii) A purchase of goods from Seema amounting to ₹ 10,000 has been wrongly entered through the sales book.
 - (iii) Sale of goods to Nikhil at the list price of ₹ 2,40,000/- less 10% trade discount. Out of the amount due 50% is received,

out of which three-fourth is received by cheque and the balance amount is received in cash. CGST and SGST applicable is 6% each.

- (iv) Goods (Cost being ₹ 15,000 and Sales price being ₹ 16,000) distributed as free samples amount prospective customers were not recorded anywhere.
- (V) A bill of Exchange (received from SS & Co.) for ₹ 10,000 had been returned by the bank as dishonoured and had been credited to the bank and debited to bills receivable account.
- (vi) A Bills Receivable for ₹ 2,500 was passed through Bills Payable Book. The Bill was given by Hans
- (vii) Sushil has been issued a credit note allowing rebate of ₹ 16,000/- as goods supplied to him was found defective. CGST and SGST charged @ 4% each.

Bank Reconciliation Statement

5. Prepare a Bank Reconciliation Statement for Vibha Traders as on 31st March, 2025. The Cash Book of Vibha Traders shows a debit balance of ₹ 3,29,000 at Bank as on 31st March, 2025, but it does not agree with the balance as per the Bank Pass Book. After checking, the following differences were found:
 1. On 12th March, 2025, the payment side of the Cash Book was undercast by ₹ 12,000.
 2. A cheque of ₹ 85,000 issued on 23rd March, 2025 was not taken in the bank column.
 3. On 22nd March, 2025, the debit balance of ₹ 18,500 as on the previous day was brought forward as a credit balance.
 4. Out of the total cheques amounting to 42,000 issued in the last week of March, 2025, cheques aggregating 28,500 were encashed in March, 2025.
 5. Dividends of 35,000 collected by the Bank and Fire Insurance Premium of 20,000 paid by the Bank were not recorded in the Cash Book.

6. One cheque issued to a creditor of ₹ 1,29,000 was recorded twice in the Cash Book.
7. A cheque from a customer for ₹ 12,000 was deposited in the Bank on 28th March, 2025 but was dishonoured and advice was received from the Bank on 5th April, 2025.
8. The Bank paid a credit card bill of ₹ 2,500 which was not recorded in the Cash Book.
9. The Bank wrongly credited a cheque of ₹ 25,000 of another customer in our account.
10. ₹ 500 discount received was wrongly entered in the bank column in the Cash Book.
11. A Debtor Mr, X deposited a cheque for ₹ 32,000 in the bank directly in the month of March 2025, without intimating to Rani traders and the same cheque was dishonoured by bank due to insufficient fund in the month of March itself

Valuation of Inventories

6. Lavender Ltd. prepared their accounts financial year ended on 31st March 2025. Due to unavoidable circumstances actual stock has been taken on 10th April 2025, when it was ascertained at ₹ 2,50,000. It has been found that;
 - (i) Sales are entered in the Sales Book on the day of dispatch and return inwards in the Returns Inward Book on the day of the goods received back. Purchases are entered in the Purchase Book on the day the Invoices are received.
 - (ii) Sales between 1st April 2025 to 9th April 2025 amounting to ₹ 60,000 as per Sales Day Book.
 - (iii) Free samples for business promotion issued during 1st April 2025 to 9th April 2025 amounting to ₹ 4,000 at cost.
 - (iv) Purchases during 1st April 2025 to 9th April 2025 amounting to ₹ 10,000 but goods amounts to ₹ 2,000 not received till the date of stock taking.

- (v) Invoices for goods purchased amounting to ₹ 55,000 were entered on 28th March 2025 but the goods were not included in stock.

Rate of Gross Profit is 25% on cost. Ascertain the value of Stock as on 31st March 2025

Depreciation and Amortisation

7. A firm purchased a second-hand machinery on April 1, 2023 for ₹ 30,00,000, subsequent to which ₹ 4,00,000 were spent on its repairs and installation. On October 1, 2023, another machinery was purchased for ₹ 18,00,000 and the cost of installing the machine in a new plant was ₹ 40,000. The firm also shifted the machinery purchased on April 1, 2023 to the new plant and incurred freight of ₹ 20,000 and loading charges of ₹ 30,000.

They adopted a policy of charging depreciation @ 12% per annum on the diminishing balance method.

On April 1, 2025, it was decided to change the method and rate of depreciation to the straight line basis. On this date, the remaining useful life was assessed as 5 years for both the machines purchased, with no scrap value.

On October 1, 2025, the first machine became outdated and was sold for ₹ 5,00,000. On the same date, another machinery was purchased for ₹ 17,00,000. The estimated useful life of the machine is 10 years and the residual value is ₹ 60,000.

You are required to prepare the Machinery Account for the year ending March 31, 2026.

Bills of Exchange

8. On 1st January 2025, Tamal draws three bills of exchange for ₹ 16,000, ₹ 25,000 and ₹10,000.

The first bill of exchange for ₹ 16,000 is for two months while the second and third bill of exchange for ₹ 25,000 and ₹10,000 is for three months. These bills are accepted by Tapas. On 4th March, 2025, Tapas requests Tamal to renew the first bill with interest at 15% p.a. for a period of two months. Tamal agreed to this proposal. On 25th March, 2025, Tapas

retires the acceptance for the second bill of ₹ 25,000, the interest rebate i.e. discount being ₹ 250 and the third bill of 10,000, the interest rebate i.e. discount being ₹ 500. Before the due date of the renewed bill, Tapas becomes insolvent and only 30 paise in a rupee could be recovered from his estate.

Show the Journal Entries in the books of Tamal.

Final Accounts

9. From the following schedule of balances extracted from the books of Mr. Manas, prepare Trading and Profit and Loss Account for the year ended 31 March, 2026 and the Balance Sheet as on that date after making the necessary adjustments:

Particulars	Dr. (₹)	Cr. (₹)
Capital Account		8,85,000
Stock on 1.4.2025	3,86,000	
Cash in hand	18,500	
Cash in Bank	73,500	
Investment (at 9%) as on 1.4.2025	50,000	
Deposits (at 20%) as on 1.10.2025	3,00,000	
Drawings	78,000	
Purchases	24,95,000	
Sales		29,86,000
Return Inwards	1,10,000	
Return outwards		1,38,000
Carriage inwards	1,26,000	
Rent	66,000	
Salaries	1,15,000	
Sundry Debtors	2,35,000	
Sunday Creditors		1,37,500
Bank Loan (at 12%) as on 1.10.2025		2,00,000

Furniture as on 1.4.2025	25,000	
Interest paid	12,500	
Interest received		28,500
Advertisement	40,300	
Printing & Stationery	32,200	
Electricity Charges	57,700	
Discount allowed	55,200	
Discount received		24,600
Bad debts	18,500	
General expenses	36,800	
Motor Car Expenses	8,500	
Insurance Premium	30,000	
Travelling Expenses	21,800	
Postage & Courier	8,100	
	43,99,600	43,99,600

Adjustments:

- (i) The value of stock as on 31st March, 2026 is ₹ 7,65,000. This includes goods returned by customers on 31st March, 2026 to the value of ₹ 25,000 for which no entry has been passed in the books.
- (ii) Purchases include one furniture item purchased on 1st January, 2026 for ₹ 10,000. Depreciation @ 10% p.a. is to be provided on furniture.
- (iii) One months' rent is outstanding and Insurance premium includes ₹ 18,000 paid towards proprietor's life insurance policy.
- (iv) Interest paid includes ₹ 9,000 paid against Bank loan and Interest received pertains to Investments and Deposits.
- (v) Provide for interest payable on Bank Loan and interest receivable on investments and deposits.

- (vi) Make provision for doubtful debts at 2.5% on the balance under sundry debtors.

Financial Statements of Not for Profit Organizations

10. The accountant of City Club gave the following information about the receipt and payment of the club for the year ended 31st March ,2025

Receipts	₹	Payments	₹
Subscriptions	62,130	Premises	30,000
Fair Receipts	7,200	Rent	2,400
Variety Show Receipts (Net)	12,810	Rates and Taxes	3,780
Interest	690	Printing and Stationery	1410
Restaurant Collections	22,350	Sundry Expenses	5,350
		Wages	2,520
		Fair Expenses	7,170
		Honorarium to Secretary	11,000
		Restaurant Purchases	17,310
		Repairs	960
		New Car (less proceeds of old car ₹ 9,000)	

The following additional information could be obtained:

Particulars	1-4-2024 (₹)	31-3-2025 (₹)
Cash in hand	450	Nil
Bank Balance as per Cash-book	24,420	10,350
Cheques issued for Sundry Expenses not presented to the bank (entry has been duly made in the Cash-book)	270	90
Subscriptions Due	3,600	2,940
Premises at Cost	87,000	1,17,000

Provision for Depreciation on Premises	56,400	—
Car at Cost	36,570	46,800
Accumulated Depreciation on Car	30,870	—
Restaurant Stock	2,130	2,610
Creditors for Restaurant	1,770	1,290

Annual Honorarium paid to Secretary is ₹ 12,000. Depreciation on Premises is to be provided at 5% on written down value. Depreciation on new car is to be provided at 20%.

You are required to prepare the Receipts and Payments Account and Income and Expenditure Account for the year ended 31-3-2025.

Accounts from Incomplete Records

11. Roshan Washing House is owned by Roshan. He keeps his books on single entry and provides you with the following information:

	1 st January, 2025 ₹	31 st December, 2025 ₹
Furniture and Fittings	50,000	60,000
Stock of Raw Materials	30,000	10,000
Sundry Debtors	60,000	70,000
Sundry Creditors	20,000	Nil
Prepaid Expenses	Nil	2,000
Outstanding Expenses	6,000	10,000
Cash in hand	11,000	3,000
Receipts from Debtors		2,10,000
Paid to Creditors		1,00,000
Cartage		20,000
Drawings		1,20,000
Sundry Expenses		1,60,000
Furniture purchased for Cash		10,000

Prepare Trading, Profit and Loss Account and Balance Sheet for the year ended 31 December 2025 after providing for bad debts at 10%. There was considerable amount of cash sales.

Partnership Accounts

Calculation of Goodwill

12. The profits and losses for the previous years are: 2022 Profit ₹ 5,000, 2023 Loss ₹ 8,500, 2024 Profit ₹ 25,000, 2025 Profit ₹ 38,500. The average Capital employed in the business is ₹ 1,00,000. The rate of interest expected from capital invested is 10%. The remuneration from alternative employment of the proprietor ₹ 3,000 p.a. Calculate the value of goodwill on the basis of 2 years' purchases of Super Profits based on the average of 4 years.

Dissolution of Partner

13. A, B and C who were sharing profits in the ratio of 3: 2:1 decided to dissolve the firm on 31st March, 2025 when their Balance Sheet was as follows:

Liabilities	₹	Assets	₹
Capital A/cs:		Building	1,50,000
A 1,80,000		Machinery	90,000
B 1,35,000		Tools	12,000
C <u>90,000</u>	4,05,000	Car	18,000
Creditors	51,000	Debtors	93,000
		Stock	55,500
		Bank	37,500
	4,56,000		4,56,000

Following transactions took place at the time of dissolution:

Assets realized are :	₹
Tools	7,500
Machinery	1,23,000

Building	1,26,000
Car	37,500
Goodwill	90,000
Debtors	88,500

- (a) Creditors accepted stock in settlement of their dues.
- (b) There was an unrecorded asset valued at ₹ 4,500 which was taken by A for ₹3,000.
- (c) There was an old furniture which had been written off from the books. B agreed to take it at ₹ 12,000.
- (d) Firm had to pay ₹ 12,000 for outstanding salary which not provided earlier.

Prepare Realisation Account, Partners' Capital Accounts and Bank Account.

Issue and Redemption of Shares

14. (a) Give necessary journal entries for the forfeiture and re-issue of shares:
 - (i) A Ltd. forfeited 3,000 shares of ₹ 10 each fully called up, held by Ramesh for non-payment of allotment money of ₹ 3 per share and final call of ₹ 4 per share. He paid the application money of ₹ 3 per share. These shares were re-issued to Mahesh for ₹ 8 per share.
 - (ii) A Ltd. forfeited 2,000 shares of ₹ 10 each (₹ 7 called up) on which Naresh had paid application and allotment money of ₹ 5 per share. Out of these, 1500 shares were re-issued to Mahesh as fully paid up for ₹ 6 per share.
 - (iii) A Ltd. forfeited 1,000 shares of ₹ 10 each (₹ 6 called up) issued at a discount of 10% to Dimple on which she paid ₹ 2 per share. Out of these, 800 shares were re-issued to Isha at ₹ 8 per share and called up for ₹ 6 share.

- (b) Following is the extract of Balance Sheet of Laxmi Ltd. as at 31st March, 2025 :

	₹
Authorized capital:	
4,50,000 equity shares of ₹ 10 each	45,00,000
37,500, 10% preference shares of ₹ 10 each	3,75,000
	48,75,000
Issued and subscribed capital:	
4,05,000 equity shares of ₹ 10 each fully paid up	40,50,000
36,000, 10% preference shares of ₹ 10 each fully paid up	3,60,000
	44,10,000
Reserves and surplus:	
General reserve	5,40,000
Capital redemption reserve	1,80,000
Securities premium	1,12,500
Profit and loss account	9,00,000
	17,32,500

On 1st April, 2025, the company decided to capitalize its reserves by way of bonus at the rate of two shares for every five equity shares held.

Show necessary journal entries in the books of the company and prepare the extract of the balance sheet after bonus issue.

15. The following balances appeared in the Books of MCM Ltd. as on 31st December, 2025:

	Amount (₹)
40,000, 10% Preference shares of ₹ 100 each, ₹ 75 paid up	30,00,000
1,00,000 Equity share of ₹ 100 each fully paid up	1,00,00,000

Securities Premium	3,25,000
Capital Redemption Reserve	21,00,000
General Reserve	42,50,000

Under the terms of their issue, the preference shares are redeemable on 31st March, 2026 at a premium of 5%. In order to finance the redemption, the company makes a right issue of 30,000 equity shares of ₹ 100 each at a premium of 10%, ₹ 25 being payable on application, ₹ 45 (including premium) on allotment and the balance on 1st August, 2026. The issue was fully subscribed and the allotment made on 1st March, 2026. The amount due on allotment was duly received by 25th March, 2026.

The preference shares were redeemed after fulfilling the necessary conditions of section 55 of the Companies Act, 2023.

You are required to pass the necessary Journal Entries (including narrations) to give effect to the above arrangement. Also prepare the Notes to accounts on Share Capital Reserves and Surplus relevant to the Balance Sheet immediately after the redemption of preference shares as on 31st March, 2026. Ignore date column in Journal.

Issue and Redemption of Debentures

16. On 1st April, 2025, the following balances appeared in the books of Globe Limited (an unlisted company other than AIFI, Banking Company, NBFC and HFC):
- 75,000 9% Debentures of ₹ 100 each issued at par
 - Balance of Debenture Redemption Reserve (DRR) ₹ 7,50,000.
 - Debenture Redemption Reserve (DRR) Investment ₹ 7,50,000 represented by 8.75% Secured Bonds of the Government of India of ₹ 100 each.

Interest on Debentures was paid half- yearly on 30th of September and 31st March every year.

The funds required for purchasing the aforesaid debentures were partly raised by selling off the DRR Investment.

On 31st March, 2026, the investments were realized at par and the Debentures were also redeemed at par.

You are required to prepare the following accounts for the year ended 31st March, 2026:

- (1) 9% Debentures Account.
 - (2) Debenture Redemption Reserve Account.
 - (3) Debenture Redemption Reserve Investment Account.
 - (4) Interest on Debentures Account.
17. FLK Ltd. issues 3,00,000 12% Debentures of ₹ 10 each at ₹ 9.40 on 1st January, 2025. Under the terms of issue, the Debentures are redeemable at the end of 5 years from the date of issue.
- Calculate the amount of discount to be written-off in each of the 5 years.
18. Write short notes on the following:
- (i) Fundamental Accounting Assumptions.
 - (ii) Noting Charges.
 - (iii) Posting of journal entries into the Leger.
 - (iv) Machine Hour Rate method of calculating depreciation.
 - (v) Retirement of bills of exchange